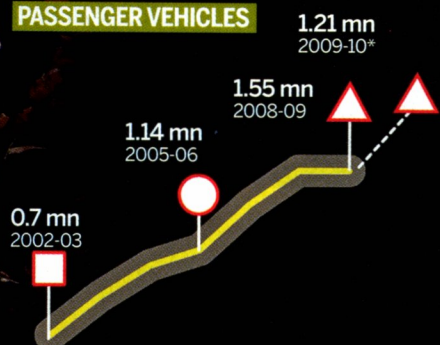


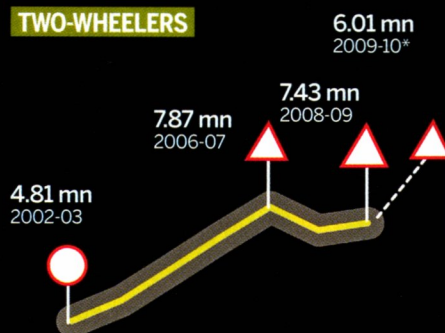
REVIVING UP

Automobile sales in India

PASSENGER VEHICLES



TWO-WHEELERS



All figures are domestic sales; *April-November 2009

India. The company will be investing approximately Rs 200 crore by 2015 in production alone. We will continue to bring in latest models. Audi India will keep playing a pivotal role in the worldwide growth strategy of Audi AG," says Benoit Tiers, managing director, Audi India. As evidence of the intent, a range of its innovation was showcased, from the heritage Audi Front 225 Roadster to the Sportback Concept car, to mark 100 years of the brand.

The sentiment finds resonance among a clutch of American, Japanese, Korean and German auto majors who have chosen India for the global launches of vehicles produced in their

factories in the country. According to industry reports, the FDI inflow from automobile companies grew from \$675 million in FY 2007-08 to \$1,152 million in FY 2008-09, a 70 per cent growth.

Auto giants are paying attention to detail and Indian sensibilities. Considering that Indian women wear saris, Honda had its workers carry saris from India to Japan so that the R&D staff could wear them and address issues related to getting in and out of a car wearing a sari. General Motors (GM) put its newly launched Beat through over 1 million km of intensive durability tests in extreme weather conditions both in India and abroad before its launch. In a

nutshell, India is a big story, spawning a small car revolution backed by big plans, big ambitions, big targets, big launches, big performance and big volumes. The offerings for 2010 and beyond, predictably though, show a clear continuation in the supremacy of the small car, now fashionably termed 'compact' and meant to cater to the new younger demographics. "Car manufacturers are betting on hatchbacks in the B+ segment. We expect the segment to constitute nearly 75 per cent of volume in the coming years," says Neeraj Garg, Volkswagen India group sales director.

Small or big, family cars or buses, what matters is India's ability to offer a global platter. Four-wheel drives apart, the stage is also set for launches in the commercial segment that is raring to

THE POTENTIAL OF THE INDIAN MARKET WAS EVIDENT AT THE AUTO EXPO WHICH SAW THE LARGEST EVER OVERSEAS PARTICIPATION.

go after a slack season. If Mahindra & Mahindra (M&M) has lined up the Maxximo—the world's first mini-truck to be powered by a 2-cylinder CRDe engine with DOHC technology and four valves per cylinder—Ashok Leyland is up close with the innovative U-Truck platform which will roll out over 25 models and a host of variants starting April 2010. Interestingly, for all global launches India is the testing ground, following which exports to other countries will be evaluated. Confirms GM President and Managing Director Karl Slym, "The Chevrolet Beat will be launched in over 150 markets around the world, including those in Europe,

HONDA SIEL'S SMALL CONCEPT CAR IS UNVEILED